



Batch No. ....

Date Received: .....

## **EMERGENCY 6 & 20 LOAN APPLICATION AND CONTRACT FORM**

### **APPLICANT'S DETAILS (Please fill in appropriately)**

UON/PR No. .... Member No. .... Mobile No. ....

FOSA Account No: ..... Date of Application .....

### **PART 1: APPLICANT'S PARTICULARS – Attach a copy of ID (Please fill in appropriately)**

1.1 Name: ..... ID No: ..... Date of Birth.....

1.2 Home address: ..... City/Town.....

County: ..... Nearest institution to home: .....

1.3 Source of Income: Salary/Business/Others ..... Occupation.....

1.4 Employer: ..... Work Station.....

Postal address: P.O. Box ..... Postal Code..... City/Town.....

1.5 Terms of Service: Permanent/Temporary/Contract/Others (specify).....

1.6 KRA PIN: ..... E-mail: .....

### **PART 2: LOAN PARTICULARS/LOAN TYPE (Tick the appropriate box)**

2.1. I ..... wish to apply for KShs..... In words

..... For a period of ..... Months  
(Specify if a lesser period than indicated below).

2.2. **Type of loan and period:** Emergency Loan 6 Months

☐

Emergency Loan 20 Months

☐

2.3. **Purpose of the Loan:** .....



### **PART 3: LOANS TO BE CLEARED BY CHUNA**

3.1 I wish to apply for FOSA clearance on my loans as indicated below:

| TYPE OF OUTSTANDING LOAN | AMOUNT(KSHS) |
|--------------------------|--------------|
| 1                        |              |
| 2                        |              |
| 3                        |              |
| 4                        |              |
| 5                        |              |

NOTE 1: Bank and other institutions loan(s) to be cleared must be supported by a statement showing the current balance to be cleared, the Bank Early Repayment Fee (ERF) and the Bank Loan Account Number. NOTE 2: After receiving the banker's cheque to clear your bank loan you are expected to send back a Bank Nil Balance statement before the difference can be paid out to your FOSA account.

**3.2** Send the Banker's Cheque for collection through FOSA Loan Account Number.....

### **PART 4: GUARANTORS**

(MUST be signed by the guarantor him/herself and should have known the Loan amount being applied for or guaranteed). "In consideration of granting the above loan or any lesser amount that may be approved, we the undersigned hereby accept jointly and severally the liability for its repayment including all accrued interest and charges in the event of borrower's default. We understand that the amount in default shall/may be recovered by an offset against our deposits in the society or by attachment of our property or salary and that we shall not be eligible for loans unless the amount in default has been cleared in full". Note - any single default in loan repayment shall attract 6% p.a. penalty on the outstanding balance and shall accrue for every month defaulted.

| S/NO | M/NO | PF/NO | NAME OF GUARANTOR | AMOUNT GUARANTEED | MOBILE NUMBER | SIGNATURE |
|------|------|-------|-------------------|-------------------|---------------|-----------|
| 1    |      |       |                   |                   |               |           |
| 2    |      |       |                   |                   |               |           |
| 3    |      |       |                   |                   |               |           |
| 4    |      |       |                   |                   |               |           |
| 5    |      |       |                   |                   |               |           |
| 6    |      |       |                   |                   |               |           |



Note 1: **Loans** must have **at least 4 guarantors**.

Note 2: **Self guarantee** - possible on condition that the deposits are more than the loan plus interest and one has not committed the same shares on guaranteeing others (issued at 80% of the member's non-withdrawable deposits)

#### **PART 5: PERSONAL COMMITMENTS AND DECLARATION**

5.1. I further pledge.....as additional security for the loan so approved.

5.2. I authorized you to: (Please delete whichever is not applicable.)

a) Reduce /increase my share contribution to.....

b) Retain my share contributions.....

5.3 (a) I hereby declare that the foregoing particulars are true to the best of my knowledge and belief, and agree to abide by the by-laws of the society, conditions, and terms of loan policy and variations by the Credit Committee. I also consent to be referenced upon this application in the Credit Reference Bureau (CRB) and be listed in the same in case of default. I release CHUNA Sacco and its officers, employees and agents from any claims, actions or proceedings of whatsoever nature and howsoever arising, suffered or incurred in connection with CRB sending/ delivering/emailing my credit report to the addresses that I have provided.

(b) I also without any reservations whatsoever allow CHUNA SACCO to auction any of my properties in case of defaulting to repay this loan once I have accessed it.

I hereby authorize the necessary deductions to be made from my salary for repayment of the loan.

**Name:** ..... **Signature:** ..... **Date:** .....

#### **PART 6: GENERAL TERMS AND CONDITIONS FOR THE EMERGENCY LOANS OF 20 & 6 MONTHS**

6.1. Application must be made on the official loan form fully completed and appropriately signed by both the Loan Applicant and Guarantor(s) in their own handwriting.

6.2. The Loan Applicant MUST attach original pay slip (not more than one month old to the date of application).

6.3. Loans are granted in accordance with the loan policy and lending conditions existing at the time of application.

6.4. For a member to qualify for a loan consideration, he/she must have contributed shares for a minimum period of six months subject to the policy in force.

6.5. Any amount of money deposited by a member either in cash or by cheque to boost shares shall wait for six months, or pay 10% of the boosting amount, before that amount can be used to secure a loan.

6.6. A member whose share contributions or loan repayments have fallen off the payroll but has continued repaying his/her loan and is in need of a new loan will be required to update his/her shares and loan repayment account by repaying in cash or authorize an offset from loan of an equivalent amount of the arrears.

6.7. Any member who clears his/her loans by cash/cheque before end of repayment period must wait for 2 months before being considered for a loan and subject to the policy in force.



- 6.8. Guarantors must be members of the Society who shall not guarantee more than twice of their savings.
- 6.9. The prevailing interest rates at time of application shall apply. The interest rates shall however be reviewed by the Board of Directors from time to time and the same communicated to members.
- 6.10. This loan will attract a 0.5% processing fee minimum being Kshs. 500 on amounts approved. All appraisal fees will be recovered up-front.
- 6.11. Members on short term contract terms of employment to be granted loans at 80% of their deposits if they do not have a renewed contract. Whereas, those with a contract will be granted and recovered loans within their contract period.
- 6.12. The loan amount applied for shall be fully covered by the Loan Applicant plus Guarantors deposits.
- 6.13. Minimum share contribution for those with loans shall be determined by the share banding on the amount approved.
- 6.14. A member who has been dormant for a period of 3months shall not be considered for any loan.
- 6.15. Minimum share contribution for members without loans is KShs. 2,500.00 per month and/or subject to policy in force.
- 6.16. Loans shall be appraised based on 3 times of members' savings and ability to repay. The applicant must always remain with at least one third (1/3) of basic salary as NET PAY after all deductions have been made, except for the Emergency loan of 6 months.
- 6.17. A Member can take a top up loan in addition to existing loan without necessarily clearing the outstanding loan subject to ability to pay. A top up interest of 10% shall be charged on outstanding balance and recovered upfront.
- 6.18. All Loans shall be paid to member's FOSA account.
- 6.19. If a member decides to cancel his/her loan after the process has been finalized, a fee of 10% of the amount applied for shall be charged.
- 6.20. No alteration whatsoever will be allowed on the loan form
- 6.21. Loan Insurance fee is charged at 1.8% of the granted Loan amount and is recoverable upfront.
- 6.22. For recovery of the loan and interest thereto, the applicant must present evidence to the SACCO of IRREVOCABLE STANDING ORDER or DIRECT DEBIT INSTRUCTIONS from her/his bank.
- 6.23. The SACCO reserves the right to involve the services of registered debt collectors and auctioneers to recover any amount arising from default.
- 6.24. The SACCO may accept collaterals from loan applicants. The loan applicant shall bear all the costs pertaining to the collateral being acceptable and charged

**PART 7. SPECIFIC TERMS AND CONDITIONS**

| <b>7.1 Emergency Loan 20 Months</b>                                                                                                                                                                                                                                                                                                                                                                  | <b>7.2 Emergency Loan 6 Months</b>                                                                                                                                                                                                                                                                                                                                                                                                       |
|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| I. Repayable within 20 months<br>II. 2.0 p.m. interest rate on reducing balance<br>III. Three point five times of Deposits<br>IV. Maximum amount 500,000.00<br>V. vii. Must be fully guaranteed<br>VI. Minimum monthly contribution must be increased is as per the loan banding<br>VII. Processing fee is 0.5% of the approved amount minimum being kshs 500<br>VIII. Loan must be fully guaranteed | I. Repayable within 6 months<br>II. Does not consider a third rule of basic pay, however, payslip must have a net salary of kshs 5,500 after loan is given<br>III. Maximum amount kshs 100,000<br>IV. Interest rate 10% recoverable upfront<br>V. Processing fee kshs 500 and insurance fee of 1.8% all recoverable upfront.<br>VI. Loan must be fully guaranteed<br>VII. Any default attracts a penalty of 10% of the defaulted amount. |

Acceptance of the terms and conditions contained in this agreement shall be indicated by the applicant providing the Sacco society with the original of this loan contract duly signed as evidence of acceptance of the terms and conditions as stated.

Signed by the Applicant: Name.....ID No.....

Mno.....Signature..... Date: .....

In the presence of: Name .....M/no.: .....

P/NO..... Signature.....Date.....

CHUNA Official: ..... Signature .....

Date .....